

Best's Credit Rating Effective Date

June 05, 2026

Analytical Contacts

Jaime Quito
Financial Analyst II
Jaime.Quito@ambest.com
+1(908) 439-2200 Ext. 908-882-2460

Sally A. Rosen
Senior Director
Sally.Rosen@ambest.com
+1(908) 439-2200 Ext. 908-882-2284

Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Aetna Health & Life Group

AMB #: 069015

Associated Ultimate Parent: AMB # 052060 - CVS Health Corporation

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Strong
Business Profile	Favorable
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: Aetna Health & Life Group | **AMB #:** 069015

AMB #	Rating Unit Members
060681	Accendo Insurance Company
064066	Aetna Better Health of Florida
064810	Aetna Better Health of MI
064077	Aetna Better Health of MO
064709	Aetna Dental Inc (a NJ corp)
064718	Aetna Dental Inc (a TX corp)
064634	Aetna Dental of CA
068689	Aetna Health Inc (LA)
068698	Aetna Health Inc (a CT corp)
060120	Aetna Health Inc (a FL corp)
068701	Aetna Health Inc (a GA corp)
064155	Aetna Health Inc (a ME corp)
068695	Aetna Health Inc (a NJ corp)
068696	Aetna Health Inc (a NY corp)
068700	Aetna Health Inc (a PA corp)
068913	Aetna Health Inc (a TX corp)
009541	Aetna Health Ins Co of NY
007443	Aetna Health Insurance Company

AMB #	Rating Unit Members
008189	Aetna Health and Life Ins Co
060119	Aetna Health of CA
068541	Aetna Health of Iowa Inc
068616	Aetna Health of Utah Inc.
077031	Aetna Life & Casualty (BM) Ltd
006006	Aetna Life Insurance Company
060568	American Continental Ins Co
009502	Continental Life Brentwood TN
060028	Coventry Health Care of IL
064126	Coventry Health Care of Kansas
068534	Coventry Health Care of MO
068544	Coventry Health Care of NE
068607	Coventry Health Care of VA
064186	Coventry Health Care of WV Inc
008812	Coventry Hlth and Life Ins Co
008951	First Health Life & Health Ins
064967	SilverScript Insurance Company

Rating Rationale

Balance Sheet Strength: **Very Strong**

- The group maintains the strongest level of risk-adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR) as of year-end 2024, and it is expected to remain at this level through 2025. While the BCAR at the 99.6% VaR declined in 2024, it is projected to improve in 2025 due to an improvement in net earnings.
- The group's investment portfolio is managed at the enterprise level and has maintained a conservative risk appetite over the past few years, being mainly concentrated in investment-grade fixed-income securities and cash and cash equivalents. The group's strategy gives priority to liquidity.
- Liquidity measures are at an adequate level and are expected to improve as earnings improve. The group's financial flexibility is significantly strengthened by access to a large credit facility at the Federal Home Loan Bank of Boston.
- Aetna Health & Life Group maintains a quota share reinsurance agreement with Health Re, Inc., and subsequent excess of loss protection by Vitality Re Limited entities, which allow the group to reduce its required capital and provide \$900 million of collateralized coverage on its group commercial business in case of an unexpected rise in the medical benefit ratio.

Operating Performance: **Strong**

- Operating earnings along with underwriting performance have historically been favorable for the group; however, in 2024, earnings were negative due to an increase in utilization of medical benefits. Through 2025, earnings have improved due to an improvement in Medicare Star Ratings for the 2025 plan year, which impacted revenue along with initiatives taken to improve the profitability of the business. This improvement is expected to continue through 2026.
- Net premium written growth was driven by a strong increase in government programs mainly driven by changes to Medicare Part D from the Inflation Reduction Act and offset by a decrease in commercial lines driven primarily by the group's repricing strategy. Through 2026, net premium growth will be limited due to the exit from the Individual ACA Exchange, which became effective January 1, 2026, offset by growth in other lines of business including government programs, Medicare Advantage and Medicaid Managed Care.
- Investment income has been steady and has meaningfully contributed to net earnings over the past five years.

Business Profile: **Favorable**

- The medical health insurance market is competitive and faces multiple competitors in all segments on the national and local plan level. Although competition is strong, Aetna continues to be one of the top writers of health insurance providing coverage to approximately 26.6 million individuals as of year-end 2025 through commercial, Medicare, Medicaid products, and related services.
- Aetna's lines of business are diversified by geography and by product, as they maintain a top five position in the Medicare, Medicaid and commercial markets. As previously mentioned, the group exited the Individual ACA Exchange effective January 1, 2026.
- Aetna has become more dependent on government lines of business, as the Medicare Advantage business has increased steadily and commercial is expected to decrease.

Enterprise Risk Management: **Appropriate**

- The enterprise risk management (ERM) program is managed by CVS Health and integrated with Aetna's legacy program. The program allows for the identification, management and mitigation of risks within the operating insurance companies in the Aetna Health & Life Group.
- The ERM program has operationalized an enterprise risk appetite statement through the design and regular monitoring of relevant metrics and tolerances. The metrics are now tracked by respective owners and discussed by senior leadership at periodic business reviews.
- Aetna maintains a risk dashboard that lists top risks. Additionally, semi-annual risk assessments are executed within a custom-built environment, which generates dashboards for each risk category as well as consolidated dashboards for each segment and the enterprise.
- Economic capital modeling and multiple scenario testing have been embedded in the organization's strategy for a number of years.

Rating Lift/Drag

- Financial leverage declined in 2025 as a result of slightly lower debt outstanding and improved earnings after having increased in 2023 and 2024 due to the acquisitions of Signify Health and Oak Street Health and losses in 2024. CVS Health is still in the process of de-leveraging following the acquisitions and the organization has not repurchased shares since 2024.
- There is potential pressure from CVS Health's high level of goodwill, which increased after the Signify Health and Oak Street Health acquisitions.

Outlook

- The stable outlooks reflect the very strong balance sheet strength assessment supported by the group's strongest level of risk-adjusted capitalization, as measured by BCAR. The group has historically had favorable operating results; however, margins have been pressured in recent years. AM Best expects the group's earnings and margins to return to historical levels in the near to intermediate term.

Rating Drivers

- A negative rating action could occur if there is a downgrade of CVS Health Corporation's ratings or if the financial leverage at the ultimate parent increases.
- A negative rating action could occur if the unfavorable trend in operating performance metrics persists and is not in line with a strong operating performance assessment.
- However unlikely, a positive rating action could occur if the group maintains its strongest level of risk-adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR), and improves other balance sheet strength metrics.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	56.2	38.2	31.3	29.0

Source: Best's Capital Adequacy Ratio Model - Combined Life & Health, US

Year End - December 31

Key Financial Indicators USD (000)	2024	2023	2022	2021	2020
Total Assets	53,179,532	44,307,587	38,830,966	38,586,628	35,549,992
Policy and Claim Reserves:					
Life and Annuity	2,367,801	2,521,578	2,631,434	2,735,713	2,951,975
Accident & Health	9,127,634	7,177,108	5,688,907	4,890,005	4,431,956
Health	6,987,219	5,616,648	3,705,740	2,875,340	2,820,403
Capital and Surplus	16,034,863	13,950,275	12,260,695	12,120,504	10,241,196
Total Revenues	86,678,226	69,249,340	57,425,042	51,172,592	47,449,059
Net Income	-1,272,842	2,471,840	2,231,878	2,982,911	3,225,179
Net Operating Cash Flow	-1,124,954	3,938,420	5,337,713	2,751,573	5,502,456
Net Premiums Written:					
Life and Annuity	176,183	150,045	135,949	122,311	75,608
Accident & Health	42,228,822	36,508,843	30,876,151	27,633,077	24,933,273
Health	41,344,080	30,731,512	24,623,059	21,735,961	21,230,102
NPW Total	83,749,085	67,390,400	55,635,159	49,491,349	46,238,983

Source: BestLink® - Best's Financial Suite



BEST'S CREDIT REPORT

AMB #: 069015 - Aetna Health & Life Group

Year End - December 31

Key Financial Ratios

	2024	2023	2022	2021	2020	Weighted Average
Overall:						
Operating Return on Revenue (%)	-1.5	3.9	5.2	5.8	6.9	3.4
Operating Return on Capital and Surplus (%)	-8.8	20.5	24.6	26.4	34.2	17.3
Health Operations:						
Loss Ratio (%)	47.0	39.2	37.4	36.9	36.5	40.2
Administrative Expense Ratio (%)	12.1	14.0	13.3	12.5	14.1	13.1
Combined Ratio (%)	59.1	53.1	50.7	49.4	50.6	53.3
IBNR Coverage (Days)	34.7	36.2	39.4	34.6	38.2	...

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Aetna Health & Life Group (Aetna) overall balance sheet strength assessment is very strong supported by its strongest level of risk adjusted capitalization as measured by Best Capital Adequacy Ratio (BCAR).

Capitalization

Risk-adjusted capitalization of Aetna remains assessed as strongest based upon Best's Capital Adequacy Ratio (BCAR). While the BCAR remained at the strongest level in 2024, it did decline from the prior year. The decline in the BCAR in 2024 was driven by net premium growth outpacing capital and surplus. Capital and surplus was impacted in 2024 by net losses. CVS Health contributed capital to aid in offsetting the impact of net losses and helped maintain the strongest level of risk-adjusted capitalization in 2024.

Capital and surplus saw improvement in 2025, mainly driven by positive earnings and the 2025 projected BCAR is expected to improve. In 2025, Aetna paid dividends to its parent which were lower than historical levels; however, dividends are expected to return to historical levels. It is important to note that the Aetna entities have historically reduced dividends or contributed capital to maintain its target when necessary. Management has a long-term strategy to maintain its aggregate risk-based capital (RBC) target of approximately 260%-265% of the NAIC's company action level.

Aetna continues to utilize a well-developed economic capital model which includes stress test scenarios applied to all its lines of business. The balance sheet strength is further supported by solid overall liquidity measures and financial flexibility through access to approximately \$1.35 billion of Federal Home Loan Bank of Boston (FHLBB) borrowing as of year-end 2025 at the lead entity, Aetna Life Insurance Company (ALIC). There was no borrowing outstanding from FHLBB at both year-end 2025 and 2024. The parent company, CVS Health, has dependence on its insurance subsidiaries to aid in servicing its debt obligations. Dividend payments were challenged during 2024 as unfavorable operating trends resulted in a net contribution to the Aetna subsidiaries. Dividend payments were lower in 2025, but AM Best expects them to return to historical levels in 2026.

In January 2026, Health Re, Inc., a subsidiary of CVS Health, the ultimate parent of the Aetna Health & Life insurance entities, entered into a four-year reinsurance agreement with Vitality Re XVII Limited. The agreement allows CVS Health's insurance entities to reduce its required capital and provides \$250 million of collateralized excess of loss reinsurance coverage on a portion of its group Commercial Insured Health Care business. This transaction has been recurring every year as the prior four-year agreement matures each year, allowing the company to maintain the same size of the reinsurance program. The agreements entered into during 2026 have a risk period that commenced on January 1, 2026 and the coverage period ends on December 31, 2029. This arrangement protects the group from an unexpected rise in the commercial group medical loss ratio. The Medical Benefits Ratio attachment and exhaustion points are reset annually. Aetna Inc. began the program in 2010 and CVS Health has not reported any claims from the Vitality Re series of Insurance Linked Securities (ILS) transactions. AM Best does not expect these transactions to materially affect the financial position of the CVS Health insurance entities.

Balance Sheet Strength (Continued...)

Year End - December 31

Capital Generation Analysis USD (000)

	2024	2023	2022	2021	2020
Beginning Capital and Surplus	13,950,275	12,260,695	12,120,504	10,241,919	8,775,783
Net Operating Gain	-1,322,668	2,681,647	3,002,764	2,954,506	3,251,187
Net Realized Capital Gains (Losses)	49,826	-209,807	-770,887	28,404	-26,008
Net Unrealized Capital Gains (Losses)	4,129	225,161	107,185	-77,868	111,936
Net Change in Paid-In Capital and Surplus	4,289,000	737,849	102,230	1,145,751	716,397
Stockholder Dividends	-543,606	-1,430,349	-2,605,630	-1,453,600	-2,437,351
Other Changes	-392,093	-314,921	304,529	-718,608	-150,748
Net Change in Capital and Surplus	2,084,588	1,689,580	140,191	1,878,585	1,465,413
Ending Capital and Surplus	16,034,863	13,950,275	12,260,695	12,120,504	10,241,196
Net Change in Capital and Surplus (%)	14.9	13.8	1.2	18.4	16.7
Net Change in Capital and Surplus (5-yr CAGR)	12.8	...	...	...	...

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis (%)

	2024	2023	2022	2021	2020
Overall:					
Operating Cash Flow Margin (%)	-1.3	5.7	9.3	5.4	11.6
Current Liquidity (%)	70.3	80.6	91.1	96.6	93.0
Health Operations:					
Benefit and Loss Related Payments to Net Premiums Collected (%)	92.0	84.0	80.6	83.9	78.0
General Expenses and Taxes Paid to Net Premiums Collected (%)	12.0	13.2	12.8	13.9	13.4
Premium Receivable Turnover (months)	0.2	0.2	0.2	0.2	0.2

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)

	2024	2023	2022	2021	2020
Debt to Total Capital and Surplus	9.4	...	...	...	...
Net Premiums Written to Total Capital and Surplus	5.2	4.8	4.5	4.1	4.5
General Account Liabilities to Total Capital and Surplus	2.1	1.9	1.9	1.7	1.9

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

The investment portfolios for all of Aetna's insurance subsidiaries are managed by an experienced internal investment management team in support of the organization's asset/liability strategies and needs of the business. The investment portfolio (total investments, cash and cash equivalents) for the group of insurance entities was valued at approximately \$28.5 billion as of December 31, 2024, and is projected to increase in 2025. Aetna's investment portfolio supports the policy liabilities and surplus being comprised largely of investment grade fixed income securities, as well as cash and short-term investments.

The investment portfolio of the insurance subsidiaries was comprised of 71.7% of fixed income securities, 8.6% in cash and short-term investments, 5.1% mortgage loans and real estate, 11.7% BA assets, with nominal amounts in equities at year-end 2024. BA Assets are comprised of private equity, hedge funds and other investments. The fixed income portfolio is actively managed to add value and minimize credit losses and the investments are predominantly high-quality investment grade securities, making up about 91% of the fixed income holdings. The share of below investment grade (BIG) bonds has been below 9.5% in each of the past five years. Below investment grade fixed income is generally comprised of emerging market debt, collateral loan obligations and high yield securities.

Balance Sheet Strength (Continued...)

The Aetna insurance subsidiaries have a long history of originating and managing a large mortgage loan portfolio. The mortgage portfolio has strong underlying fundamentals, with no foreclosed or delinquent mortgages as of the end of 2025.

Composition of Cash and Invested Assets	Year End - December 31				
	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	28,450,579	25,598,890	24,393,366	23,649,371	22,003,141
Composition Percentages (%)					
Cash and Short Term Investments	8.6	15.6	16.3	14.2	13.5
Bonds	71.7	65.3	66.4	68.0	67.6
Preferred and Common Stock	2.5	3.1	4.1	6.1	6.9
Mortgage Loans	5.1	5.0	4.2	3.7	4.7
Other Invested Assets	12.6	11.7	10.3	10.4	7.4
Non-Admitted	-0.5	-0.7	-1.3	-2.4	...
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Bonds and Short Term Investments	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	1.7	8.4	3.0	1.3	1.6	6.7
Government Agencies and Municipal Bonds	0.5	0.9	1.1	1.3	1.4	12.5
Industrial and Miscellaneous Bonds	8.0	40.4	20.4	4.6	5.5	6.1
Hybrid Securities	...	...	...	...	...	8.2
Total Bonds	10.2	49.8	24.5	7.1	8.4	6.6

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	20,399,030	16,718,621	16,195,384	16,085,511	14,873,846
US Government (%)	10.4	8.1	8.2	9.4	10.9
Foreign Government (%)	5.3	6.4	6.8	6.4	6.9
State, Municipal & Special Revenue (%)	5.3	12.6	13.2	14.4	14.2
Industrial & Miscellaneous (%)	78.8	72.8	71.7	69.5	67.9
Hybrid Securities and Other (%)	0.1	0.1	0.1	0.2	0.2
Total (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Operating Performance

The operating performance for Aetna Health & Life Group (Aetna) entities is assessed as strong supported by a history of profitable earnings through its retention of high margin commercial insured membership and a favorable trend of premium growth from its government business. Underwriting results in 2024 deteriorated due to increased utilization and the unfavorable impact of the Aetna Medicare Advantage star ratings for the 2024 payment year. In 2025 earnings improved, driven by an improvement in STAR ratings with 88% of members in four + rated plans, along with initiatives taken to improve profitability. Government products make up the majority of the group's net premiums. Membership declined in 2025, driven by margin recovery initiatives in Medicare Advantage. The company exited the ACA individual market effective January 1, 2026. Going forward, Aetna expects growth to be driven by the government business.

Total insured premium increases through 2025 are driven by strong increases in government programs, driven by changes to Medicare Part D from the Inflation Reduction Act rating actions and was offset by declining membership driven by the group's repricing strategy. In 2026, the percentage of members in 4+ Star plans decreased to 81% from 88% in 2025. Additionally, the Medicaid business has seen fluctuations after the resumption of eligibility redeterminations after the end of the public health emergency. Aetna has worked

Operating Performance (Continued...)

with State partners and took actions to improve profitability and adequately capture underlying trends in its premium rates. AM Best expects earnings and margins at Aetna to continue to improve in 2026 due to corrective actions being implemented and return to historical levels in the medium term.

Through the first quarter of 2026, CVS Health has revised the full-year outlook for their Health Care Benefits segment (HCB), which is predominantly comprised of the Aetna Health & Life Group companies. Adjusted operating income is expected to improve to at least \$4 billion compared to at least \$3.5 billion in its year-end 2025 forecast. This was driven by rate increases and continued favorable prior year development. CVS Health is forecasting a 2026 Medical Benefit Ratio (MBR) of 90.5% on the low end, compared to the actual Medical Benefit Ratio(MBR) of 91.2 %.

Year End - December 31

Net Operating Gain by LOB - Life Operations USD (000)

	2024	2023	2022	2021	2020
Individual Life	8,754	12,990	2,113	-6,021	5,447
Group Life	5,980	44,851	65,005	6,602	-49,642
Individual Annuities	-129	-1,303	819	225	-308
Group Annuities	7,658	-22,769	-2,101	87,425	-3,052
Accident & Health	72,944	2,269,379	2,108,129	1,937,483	2,267,399
Other Lines of Business	...	146,780	112,718	92,245	107,682
Total	95,208	2,449,927	2,286,682	2,117,960	2,327,527

Source: BestLink® - Best's Financial Suite

Year End - December 31

Net Underwriting Gain - Health Operations USD (000)

	2024	2023	2022	2021	2020
Comprehensive	-699,501	-186,732	-30,278	889	377,036
Dental	15,664	17,650	18,939	20,075	19,461
Federal Employee Health Benefit Plan	46,824	19,990	208	32,661	49,228
Medicare	-1,244,408	127,892	685,011	360,216	353,064
Medicare Supplement	-308,459	-311,685	-425,812	-163,224	-53,074
Medicaid	1,173	269,414	299,825	286,616	135,691
Other Health	-167,322	62,889	136,209	157,168	206,229
Other Non-Health	-12,462	-8,684	-30,225	-2,029	1,870
Total	-2,368,491	-38,976	653,877	786,858	1,153,000

Source: BestLink® - Best's Financial Suite

Business Profile

The Aetna Health & Life Group (Aetna), largely comprising CVS Health's Health Care Benefits segment, is one of the nation's leading providers of employee health insurance benefits. The Aetna entities, include Aetna Life Insurance Company (ALIC), Aetna Health and Life Insurance Company, Aetna Health Insurance Company, Aetna Health Insurance Company of New York, First Health Life & Health Insurance Company, and a number of Aetna's health and dental maintenance organizations in multiple states. These insurance companies provide employer group coverage, as well as government programs, Medicare Advantage and Medicaid managed care, throughout the United States. Aetna exited the individual ACA market effective January 1, 2026. Aetna Life and Casualty (BM) Ltd. is a Bermuda domiciled company that provides health insurance benefits to expatriate employees. SilverScript Insurance Company is the leading stand-alone Medicare prescription drug plan in the United States. Continental Life Insurance Company of Brentwood Tennessee, American Continental Insurance Company and Accendo Insurance Company (Accendo) market Medicare Supplement coverage, which allows the organization to sell a full suite of Medicare products. The business profile for these companies is favorable.

In 2018, CVS Health Corporation (CVS Health) acquired Aetna, Inc. and its subsidiaries, which included Aetna's nationwide customer base, broad provider networks and a comprehensive product portfolio and began to carry out its vertical integration plan. Aetna markets its traditional, voluntary and consumer-directed health insurance products to employer groups, which range from large multi-site national accounts to mid-sized and small-employer groups including college students, government sponsored plans, and labor groups. The company has an expansive nationwide provider network.

Business Profile (Continued...)

Aetna, which largely comprises CVS Health's Health Care Benefits segment, is active in Medicare, Medicaid and commercial health markets. The company's market share position varies by business and is in the top five nationally for group commercial (both self-insured and full risk), Medicare Advantage and Medicaid. On January 1, 2026, Aetna exited the individual ACA market. Aetna's domestic medical membership as of the end of 2025, 26.6 million, down 1.9% from the previous year. Aetna's lines of business are diversified across the United States. Membership growth has been driven by its commercial and Medicare Advantage lines of businesses. Commercial lines decreased around 0.3% to 18.8 million members, while Medicare Advantage membership decreased around 4% from prior year with 4.3 million members. Medicaid membership, while decreased in 7.6% to 2.3 million members, after having grown substantially over the last few years, driven by the government's suspension of the redetermination requirements in 2020. The suspension of requirements were predicated on the federal government's public health emergency declaration. Medicaid redetermination resumed and was the main driver of membership decline over the past couple of years. Additionally, in 2025 membership in Medicare Advantage declined driven by initiatives taken to improve the profitability of the business. For 2026, enrollment growth is expected to be limited due to the exit from the individual ACA market.

CVS Health has roughly 9,000 retail locations, 246 primary care medical clinics and a pharmacy benefits manager with approximately 87 million plan members as of December 31, 2025. In 2023, CVS Health expanded its value-based models with the acquisitions of home-care provider Signify Health and Oak Street Health. Signify Health offers patient care through both virtual and in-person visits, using technology and analytics to power its services, which has been integrated with Aetna's current healthcare model. The CVS Health organization sees in-home evaluations as a complement to its value-based care delivery and has performed nearly 3.5 million in-home evaluations through year-end 2025. The evaluations are shared with the members primary care physicians. CVS Health believes sharing these results will aid in filling gaps in care, while encouraging members who have not regularly visited their physician to schedule a visit.

Oak Street Health is a leading multi payor, value-based primary care company focused on serving the senior population (MA). CVS completed the acquisition of certain Rite Aid assets and now operates 63 former Rite Aid and Bartell Drugs pharmacies in three states.

CVS Health has continued to build out its retail strategy where it uses CVS Pharmacies and MinuteClinics in its stores to combine customer experience with healthcare services that develop customer interactions with health care service providers at scale and to do this with primary care as the main point-of-contact to drive high levels of engagement. As of 2025, CVS Health operated more than 800 MinuteClinics locations across the U.S.

Aetna aims to deliver product innovation through CVS Health integrated assets, digital tools and technology. Furthermore, CVS is aiming to transform the biosimilar market and improve access and affordability of costly specialty medications. The company has already converted over 90% of eligible Humira patients to a low-cost biosimilar. CVS is also working to deliver a similar cost-based solution for Medicare and Medicaid markets. These models eliminate the market basket approach and improve issues that existed in pharmacy reimbursement. The goal is to ensure patients continued access to the most durable and frequent interaction in their healthcare journey.

Year End - December 31

Net Premiums Written by Line of Business USD (000)

	2024	2023	2022	2021	2020
Individual Life	53,737	46,489	40,574	42,752	45,205
Group Life	58	548	129	204	2,982
Group Annuities	8,728	9,193	16,853	27,258	21,587
Accident & Health	42,228,822	36,508,843	30,876,151	27,633,077	24,933,273
Comprehensive	10,167,470	7,460,369	2,677,411	2,512,174	3,106,239
Dental	63,886	66,959	70,324	75,565	75,497
Federal Employee Health Benefit Plan	659,845	647,180	660,838	692,331	728,477
Medicare	21,257,196	14,024,630	13,243,053	9,713,772	9,318,797
Medicare Supplement	1,555,756	1,529,552	1,391,243	644,778	273,668
Medicaid	5,335,167	5,345,367	4,923,142	4,181,218	3,494,454
Other	2,418,421	1,751,271	1,735,441	3,968,219	4,238,804
Total	83,749,085	67,390,400	55,635,159	49,491,349	46,238,983

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

The Enterprise Risk Management (ERM) is appropriate. The program is currently managed by CVS Health, however, prior to CVS Health acquiring Aetna, the Aetna Group of companies had its own, well developed ERM. As part of the integration plans, the parent organization's corporate leadership team has consolidated best practices of the legacy Aetna program into CVS Health's ERM. The unified framework facilitates a consistent view of risk management across all of CVS Health's functional areas and major business units in order to promote risk transparency to all key stakeholders. The ERM process includes identification, assessment and monitoring of risks and controls and establishing risk tolerances and limits to ensure appropriate business risks are taken. Quantitative and qualitative outputs are measured for risks to ensure strategic decisions align with corporate goals. Stress and scenario testing is also leveraged to assess the adequacy of capital upon hypothetical situations and to ensure strategic preparedness for adverse events. There were multiple-stress scenarios used in the last Own Risk and Solvency Assessment (ORSA) filing which are used to assess and support the adequacy of the economic capital held within the healthcare business unit. Economic capital modeling encompass care delivery, pharmacy services and retail segments in addition to the existing work done for its healthcare business units.

The ERM framework fosters a culture of risk awareness and risk management across the organization, where the tone of importance is set at the top levels of management. All levels participate in the process to ensure the identified risks are transparent across the organization. Overall program oversight lies with the Audit Committee of the Board who oversees management's progress of managing risks, hosts ERM discussions and approves the ORSA filing. The next three layers starting at the top are the Business Executive Leadership Team, Risk Champions who approve and oversee risk information in their respective domains, and a risk management working group composed of Delegates of the Risk Champions, Business Unit Risk Owners and CVS Health's Legal team. Each level provides a theoretical "line of defense" in all the aspects of management and oversight of enterprise risks.

The risk identification and prioritization process includes discover, prioritize and organize phases. During the discovery phase, the company carries out a variety of initiatives to identify the risks that reflect the current risk landscape. The results of this effort are then used to create a risk register. The ERM team has operationalized an enterprise risk appetite statement through the design and regular monitoring of relevant metrics and tolerances. The metrics are tracked by respective owners and discussed by senior leadership at periodic business reviews. Both internal and external risks are identified from its risk assessment and prioritized based on the magnitude and likelihood of the realization of the risk outcomes. Prior to the CVS Health integration efforts, Aetna was part of the NAIC's ORSA pilot, and partnered with the Connecticut Insurance Department (CID) in the development of their initial ORSA filing.

CVS Health utilizes risk dashboards as a tool to facilitate risk assessment and to measure progress of the ERM function. There are essentially four steps in the management of risks along the dashboard's continuum. First, list the underlying identified risks. Next, identify the controls and mitigation strategies. Then the existence of tracking mechanisms is monitored and tolerance levels earmarked. Finally, a projected risk is determined and all associated risks identified. A risk profile within a risk category is the end result along with a heat map to illustrate the residual likelihood and impact of the underlying risks. There are over 25 risk categories, and as with all health insurers we find pricing, operational and strategic risks among others, are included at the top of CVS Health's priority lists. CVS Health lays out clearly identified risks and the associated risk mitigation strategies to manage its top risks using risk management tools.

Reinsurance Summary

The majority of ceded premium is at the lead operating entity Aetna Life Insurance Company (ALIC), and totaled \$15.4 billion as of year-end 2025. In addition to the reinsurance agreement with Health Re, premium from multiple product lines are ceded to a panel of highly rated reinsurers. The primary purpose of these agreements is to reduce capital requirements at ALIC. There have been no history of disputes.

Environmental, Social & Governance

AM Best considers Aetna Health & Life Group's exposure to material environmental, social and corporate governance (ESG) risks to be low. The company operates in an environment where its underwriting activities have low or no exposure to climate risk, and its risk profiles on both underwriting and investments are not exposed to the industries deemed as toxic. The parent company, CVS Health, has a "Healthy 2030" ESG strategy which outlines how CVS Health is creating a pathway for sustainability and working toward best practices in corporate responsibility. The strategy includes increasing access to healthcare and services, reducing energy use, making investments in under-resourced communities, and supporting organization wide diversity initiatives. The company annually monitors its ESG by its Nominating and corporate Governance Committee of the Board of Directors along with CVS Health's President and Chief Executive Officer to ensure its practices are compliant with corporate targets. The company operates in line with market peers, and at present ESG factors are unlikely to impact the credit quality of the company over the short-term.

Rating Lift/Drag

Following the acquisition of Aetna, the level of financial leverage and goodwill at CVS Health was considered high, which limits an organization's financial flexibility and puts pressure on the insurance operations to provide the income at the parent to service the debt. While the company had accelerated its deleveraging strategy over the last couple of years, the level of leverage increased in two straight years following the completion of the Signify (\$8 billion) and Oak Street Health (\$10.6 billion) transactions in 2023. In 2024, unfavorable underwriting performance at the Health Care Benefits segment (Aetna) resulted in capital contributions from CVS Health to its insurance subsidiaries, contributing to elevated leverage at the parent. Financial leverage declined slightly in 2025 due to slightly lower debt outstanding and improved earnings. CVS Health is still in the process of de-leveraging and the organization has not repurchased shares since 2024.

The level of goodwill and intangible assets declined in 2025 to \$111 billion from \$119 billion in 2024. The decline was driven by lower goodwill due to the goodwill impairment charge related to CVS Health's Health Care Delivery report unit that occurred in the third-quarter 2025 for Oak Street Health. However, the goodwill and intangibles to equity still exceeded 130% at year-end 2025.

Financial Statements

Year End - December 31

	2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	2,438,465	4.6	3,999,883	9.0
Bonds	20,399,030	38.4	16,718,621	37.7
Preferred and Common Stock	657,854	1.2	798,305	1.8
Other Invested Assets	4,955,230	9.3	4,082,081	9.2
Total Cash and Invested Assets	28,450,579	53.5	25,598,890	57.8
Premium Balances	4,113,704	2.1	3,096,840	2.3
Healthcare and Other Receivables	1,005,122	1.9	1,283,940	2.9
Other General Account Assets	16,021,961	30.1	10,762,800	24.3
Total General Account Assets	49,591,366	93.3	40,742,469	92.0
Separate Account Assets	3,588,167	6.7	3,565,118	8.0
Total Assets	53,179,532	100.0	44,307,587	100.0
Policy and Claim Reserves	18,482,654	34.8	15,315,334	34.6
Liability for Deposit Contracts	312,713	0.6	319,066	0.7
Funds Held Under Reinsurance and Coinsurance Agreements	1,981,448	999.9	1,683,727	999.9
Asset Valuation Reserve	622,944	1.2	530,494	1.2
Accrued Expenses and Other General Account Liabilities	12,156,743	22.9	8,943,573	20.2
Total General Account Liabilities	33,556,503	63.1	26,792,194	60.5
Separate Account Liabilities	3,588,167	6.7	3,565,118	8.0
Total Liabilities	37,144,669	69.8	30,357,312	68.5
Capital Stock	95,017	0.2	95,984	0.2
Paid-In and Contributed Surplus	11,989,567	22.5	7,699,600	17.4
Unassigned Surplus	3,733,908	7.0	6,040,784	13.6
Other Surplus	216,371	0.4	113,907	0.3
Total Capital and Surplus	16,034,863	30.2	13,950,275	31.5
Total Liabilities, Capital and Surplus	53,179,532	100.0	44,307,587	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Income Statement USD (000)	2024	2023
Net Premiums Earned	84,327,627	67,262,850
Other Revenues	948,179	940,205
Net Investment Income	1,402,420	1,046,286
Total Revenues	86,678,226	69,249,340
Net Incurred Benefits	79,691,341	57,919,939
Commissions and Expense Allowances	1,451,147	1,175,463
Insurance and Other Expense	7,046,138	6,616,940
Dividends to Policyholders	2	-12
Pre-Tax Net Operating Gain	-1,510,400	3,537,009
Income Taxes Incurred	-187,426	855,361
Net Operating Gain	-1,322,668	2,681,647
Net Realized Capital Gains (Losses)	49,826	-209,807
Net Income	-1,272,842	2,471,840

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	Year End - December 31	
	2024	2023
Net Premiums Collected	83,345,047	67,447,232
Other Revenue Received	1,022,320	984,505
Net Investment Income	1,151,851	987,277
Total Income Collected	85,519,218	69,419,014
Net Benefits and Loss Related Payments	76,685,217	56,648,889
Underwriting and Other Expenses Paid	10,298,880	8,009,060
Net Transfers to (from) Separate Accounts	-40,381	-43,741
Dividends to Policyholders	1	1
Income Taxes Paid (Recovered)	-299,545	866,386
Net Operating Cash Flow	-1,124,954	3,938,420

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

[Understanding Global BCAR, 09/18/2025](#)

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